

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS

FOR THE YEAR ENDED MARCH 31, 2024

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 31 MARCH 2024

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the quarter ended 31 March	COMPANY AND INVESTEE		COMPANY	
	2024	2023	2024	2023
	(Rs.000)	(Unaudited) Rs.000	(Rs.000)	(Unaudited) Rs.000
Revenue	3,881,147	2,791,800	3,881,147	2,791,800
Cost of sales	(3,009,972)	(2,055,741)	(3,009,972)	(2,055,741)
Gross profit	871,175	736,059	871,175	736,059
Other income	5,463	613,711	5,463	613,711
Change in fair value of investment property	28,000	32,000	28,000	32,000
Distribution expenses	(226,195)	(176,844)	(226,195)	(176,844)
Administrative expenses	(134,555)	(109,745)	(134,555)	(109,745)
Profit from operations	543,889	1,095,181	543,889	1,095,181
Finance income	125,949	119,548	125,949	119,548
Finance expenses	(236,398)	(385,480)	(236,398)	(385,480)
Net finance income	(110,449)	(265,932)	(110,449)	(265,932)
Share of (loss)/profit on equity accounted investee, net of tax	(893)	(672)	-	-
Profit before tax	432,546	828,576	433,439	829,248
Income tax expense	(159,661)	(65,848)	(159,661)	(65,848)
Profit for the quarter	272,885	762,727	273,778	763,400
Other comprehensive income				
Items that will not be reclassified to profit or loss				
Actuarial (loss)/gain on defined benefit obligations	(184)	-	(184)	-
Revaluation of property, plant and equipment	160,619	-	160,619	-
Related tax	(48,131)	-	(48,131)	-
Share of OCI of equity accounted investee, net of tax	-	-	-	-
Effect of change in tax rates	-	-	-	-
Other comprehensive income , net of tax	112,305	-	112,305	-
Total comprehensive income for the quarter	385,190	762,727	386,083	763,400
Earnings per share -Rs.	12.52	34.99	12.56	35.02
Market value per share				
Highest price-Rs.			286.00	290.00
Lowest price-Rs.			225.00	202.25
Last traded price-Rs.			280.00	268.75
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the year ended 31 March	COMPANY AND INVESTEE		COMPANY	
	2024	2023	2024	2023
	(Audited)	(Audited)		
	Rs.000	Rs.000	Rs.000	Rs.000
Revenue	14,168,025	11,462,496	14,168,025	11,462,496
Cost of sales	(10,898,445)	(7,985,969)	(10,898,445)	(7,985,969)
Gross profit	3,269,579	3,476,528	3,269,579	3,476,528
Other income	56,013	273,755	56,013	273,755
Change in fair value of investment property	28,000	32,000	28,000	32,000
Distribution expenses	(723,759)	(584,995)	(723,759)	(584,995)
Administrative expenses	(494,957)	(409,247)	(494,957)	(409,247)
Profit from operations	2,134,876	2,788,040	2,134,876	2,788,040
Finance income	529,323	778,442	529,323	778,442
Finance expenses	(287,167)	(30,872)	(287,167)	(30,872)
Net finance income	242,156	747,569	242,156	747,569
Share of loss on equity accounted investee, net of tax	(3,056)	(3,639)	-	-
Profit before tax	2,373,976	3,531,970	2,377,032	3,535,610
Income tax expense	(719,725)	(745,146)	(719,725)	(745,146)
Profit for the period	1,654,251	2,786,824	1,657,307	2,790,463
Other comprehensive income				
Items that will not be reclassified to profit or loss				
Actuarial (loss)/gain on defined benefit obligations	(184)	(9,140)	(184)	(9,140)
Revaluation of property, plant and equipment	160,619	-	160,619	-
Related tax	(48,131)	2,742	(48,131)	2,742
Effect of change in tax rates	-	(24,688)	-	(24,688)
Other comprehensive income, net of tax	112,305	(31,086)	112,305	(31,086)
Total comprehensive income for the period	1,766,555	2,755,738	1,769,612	2,759,377
Earnings per share -Rs.	75.88	127.84	76.02	128.00
Market value per share				
Highest price-Rs.			358.00	458.00
Lowest price-Rs.			225.00	98.10
Last traded price-Rs.			280.00	268.75
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 31 March	As at 31 March	As at 31 March	As at 31 March
	2024 Rs.000	2023 Rs.000	2024 Rs.000	2023 Rs.000
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,309,763	1,158,261	1,309,763	1,158,261
Investment property	750,000	722,000	750,000	722,000
Right-of-use assets	1,339	2,232	1,339	2,232
Investment in equity accounted investee	68,437	71,493	51,200	51,200
	2,129,539	1,953,987	2,112,302	1,933,694
CURRENT ASSETS				
Inventories	3,100,889	2,806,149	3,100,889	2,806,149
Trade and other receivables	1,017,057	1,059,523	1,017,057	1,059,523
Amount due from related companies	68,050	719,570	68,050	719,570
Investment valued at fair value through - profit or loss	987,261	-	987,261	-
Value added tax recoverable	877,791	782,114	877,791	782,114
Deposits and prepayments	23,818	22,657	23,818	22,657
Investment in fixed deposits	3,995,526	2,877,942	3,995,526	2,877,942
Cash and cash equivalents	1,286,652	1,350,437	1,286,652	1,350,437
	11,357,045	9,618,392	11,357,045	9,618,392
TOTAL ASSETS	13,486,584	11,572,379	13,469,347	11,552,086
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000	218,000	218,000	218,000
Capital reserves	680,236	567,803	610,366	497,932
General reserves	431,136	431,136	431,136	431,136
Retained earnings	9,630,175	8,117,753	9,682,809	8,167,330
	10,959,547	9,334,692	10,942,310	9,314,398
NON-CURRENT LIABILITIES				
Employee benefits	182,332	152,619	182,332	152,619
Deferred taxation	187,368	139,237	187,368	139,237
Interest bearing borrowings	36,170	83,994	36,170	83,994
	405,871	375,851	405,871	375,851
CURRENT LIABILITIES				
Trade and other payables	665,795	450,644	665,795	450,644
Amount due to related companies	493,102	314,558	493,102	314,558
Current tax payables	899,680	869,440	899,680	869,440
Unclaimed dividends	14,722	12,043	14,722	12,043
Interest bearing borrowings	47,826	155,651	47,826	155,651
Bank overdrafts	42	59,501	42	59,501
	2,121,166	1,861,837	2,121,166	1,861,837
TOTAL LIABILITIES	2,527,037	2,237,688	2,527,037	2,237,688
TOTAL EQUITY AND LIABILITIES	13,486,584	11,572,379	13,469,347	11,552,086

Net asset per share (Rs.)	502.73	428.20	501.94	427.27
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These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

Sgd.
Ms. Hemamala Karunasekara
Chief Financial Officer

Sgd.
Suren Madanayake
Deputy Chairman

Sgd.
U. G. Madanayake
Chairman

May 30, 2024

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2022	218,000	592,491	431,136	5,479,027	6,720,654
Profit for the period	-	-	-	2,786,824	2,786,824
Other comprehensive income	-	(24,688)	-	(6,398)	(31,086)
Total comprehensive income	-	(24,688)	-	2,780,426	2,755,738
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 31 March 2023 (Audited)	218,000	567,803	431,136	8,117,753	9,334,692
Balance as at 1 April 2023	218,000	567,803	431,136	8,117,753	9,334,692
Profit for the period	-	-	-	1,654,251	1,654,251
Other comprehensive income	-	112,433	-	(129)	112,305
Total comprehensive income	-	112,433	-	1,654,122	1,766,555
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 31 March 2024	218,000	680,236	431,136	9,630,175	10,959,547

COMPANY

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2022	218,000	522,620	431,136	5,524,965	6,696,721
		-			
Adjustment on initial application of SLFRS 09	-	-	-	-	-
Tax effect arising on initial application of SLFRS 09	-	-	-	-	-
Profit for the period	-	-	-	2,790,463	2,790,463
Other comprehensive income	-	(24,688)	-	(6,398)	(31,086)
Total comprehensive income	-	(24,688)	-	2,784,065	2,759,377
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 31 March 2023 (Audited)	218,000	497,932	431,136	8,167,330	9,314,398
Balance as at 1 April 2023	218,000	497,932	431,136	8,167,330	9,314,398
Profit for the period	-	-	-	1,657,307	1,657,307
Other comprehensive income	-	112,433	-	(129)	112,305
Total comprehensive income	-	112,433	-	1,657,179	1,769,612
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 31 March 2024	218,000	610,366	431,136	9,682,809	10,942,310

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31st March 2023 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 -Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- The contingent liability as at 31 March 2024 on guarantees given to third parties amounted to Rs.58,700,797/-.
- Net finance income/(expense) includes the exchange gains/(losses) as follows,

	COMPANY/COMPANY AND INVESTEE			
	Period ended 31st March		Quarter ended 31st March	
	2024	2023	2024	2023
	Rs.000	Rs.000	Rs.000	Rs.000
Exchange gain/(loss)	(269,187)	360,349	(232,584)	(379,457)

- The gain from the disposal of foreign investment amounting to Rs.609.7Mn has been recognised under the other income in the Quarterly Financial statements (unaudited) ended 31/03/23. Out of this, the Exchange gain arises from the disposal of foreign investment amounting to Rs.380.Mn which was recognized under Other Income in the Quarterly Financial Statement (Unaudited) ended 31/03/23 was subsequently re-classified under the Financial Income, thus making the Other Income from the above reclassifying to Rs. 229.7 Mn in the Audited Financial statements for the year ended 31/03/23.
- The Board of Directors declared an Interim Dividend of Rs.6/50 per share for the year ended 31 March 2023 amounting to Rs. 141.7 Mn. on July 28, 2023 which was paid on 29th August 2023.
- Mr. Mahinda Saranapala-Managing Director of the Company resigned with effect from 30th April 2024 and Dr. Anil Munasinghe was appointed as the Chief Executive Officer of the Company with effect from 01st April 2024.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The number of shares held by the Board of Directors are as follows :

		As at 31 March 2024		As at 31 March 2023	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	56,200	0.26%	56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	61,000	0.28%	61,000	0.28%
Mr. Mahinda Saranapala	- Managing Director	-	-	-	-
Mrs. N. C. Madanayake	- Director	-	-	-	-
Dr. Bandula Perera	- Director	-	-	-	-
Mr. Deepal Sooriyaarachchi	- Director	-	-	-	-

11. Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 31 March 2024	4,399,696	20.2%	2608
Float adjusted market capitalization (Rs.)	1,231,914,880		

Company complies the requirement of Listing Rules of 7.14.1 -Minimum Public Holding as a Continuous Listing Requirement under the option No. 05 of 7.14.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Public Holding Percentage	Number of Public Shareholders
Option -5	Less than Rs.2.5Bn	20%	500

12. 20 Largest Shareholders of the Company as at 31 March 2024 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	16,349,348	75.00%
2 ACL Cables PLC	933,756	4.28%
3 People's Leasing & Finance PLC/Mr. Iresh Sridas	120,859	0.55%
4 Sirimalwatta S. V. W. B. K.	103,500	0.47%
5 Bank of Ceylon-No2 A/C (BOC PTF)	94,418	0.43%
6 Wijaya P. and Ramesh P.	87,372	0.40%
7 Employees Trust Fund Board	82,462	0.38%
8 Ceylinco Shiram Capital Management Services	76,600	0.35%
9 Srikantha B. W. R	69,506	0.32%
10 People's Leasing & Finance PLC/K. L. Udayananda	64,838	0.30%
11 Goonesekera C. D. M. (Mrs.)	62,500	0.29%
12 Madanayake H. A. S.	61,000	0.28%
13 Madanayake U. G.	56,200	0.26%
14 Vasudevan S. and Vasudevan S.	56,051	0.26%
15 DFCC Bank PLC A/C No. 02	45,000	0.21%
16 Leonard D.S.	41,203	0.19%
17 Kannangara N.L. and De Livera S.S.	40,000	0.18%
18 Mohideen M. M.	37,002	0.17%
19 Sumathipala U. W. J. P. A.	35,200	0.16%
20 Abdulhussein Y. H.	34,588	0.16%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company registration No.	- PQ 117
Legal form	- A Quoted Public Company with Limited Liability, incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered office	- No. 60, Rodney Street, Colombo 08, Sri Lanka Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle place of business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicables.com Website : www.kelanicables.com
Board of directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mr. Mahinda Saranapala-resigned w.e.f. 30/04/24 Mrs. N. C. Madanayake Dr. Bandula Perera Mr. Deepal Sooriyaarachchi
Company secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Commercial Bank of Ceylon PLC Sampath Bank PLC Seylan Bank PLC